

INTERIM FINANCIAL STATEMENTS

ASIA ASSET FINANCE PLC



For the quarter ended 30th June 2021

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	For the quarter ended		
	30.06.2021	30.06.2020	Change
	LKR	LKR	
	Unaudited*	Unaudited*	%
Interest Income	561,546,970	677,167,628	-17.07%
Interest Expenses	(319,269,286)	(407,421,842)	-21.64%
Net Interest Income	242,277,684	269,745,786	-10.18%
Net Trading Gain/(Loss) on Equity Securities	-	-	0.00%
Other Operating Income	116,613,437	20,229,664	476.45%
Less: Operating Expenses			
Personnel Costs	(71,035,601)	(57,682,085)	23.15%
Provision for Staff Retirement Benefits	(2,100,000)	(2,100,000)	0.00%
General and Administration Expenses	(177,997,093)	(149,419,792)	19.13%
Impairment Charge for Lease Rentals Receivable, Hire Purchase and Loans and Advances	(65,045,826)	(87,705,268)	-25.84%
Operating Profit before Value Added Tax on Financial Services	42,712,601	(6,931,695)	716.19%
Value Added Tax on Financial Services	(15,000,000)	(10,000,000)	50.00%
Profit Before Taxation	27,712,601	(16,931,695)	263.67%
Income Tax (Expenses) / Reversal	(18,000,000)	-	100.00%
Profit for the Period	9,712,601	(16,931,695)	157.36%
Actuarial Loss on Retirement Benefit Liability	-	-	-
Income Tax on Components of Other Comprehensive Income	-	-	-
Other Comprehensive Income for the Period Net of Tax	-	-	-
Total Comprehensive Income for the Period	9,712,601	(16,931,695)	157.36%
Earnings Per Share - Basic	0.08	(0.14)	157.36%

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2021 LKR Unaudited*	31.03.2021 LKR Audited*	Change %
ASSETS			
Cash and Cash Equivalents	1,505,297,729	1,006,233,476	49.60%
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	662,637,724	654,692,844	1.21%
Financial assets at amortized cost - Loans and advances	10,717,812,010	10,198,262,863	5.09%
Financial assets at amortized cost - Lease rentals receivable and hire purchase	1,914,285,696	2,212,534,894	-13.48%
Other Assets	12,557,390	21,637,319	-41.96%
Income Tax Receivable	26,914,725	27,698,763	-2.83%
Advances, Deposits and Prepayments	259,565,178	252,083,662	2.97%
Financial assets - Fair value through other comprehensive income	506,659	506,659	0.00%
Right-of-use assets	214,998,917	217,810,352	-1.29%
Property, Plant and Equipment	155,279,426	156,436,174	-0.74%
Investment Property	376,158,648	376,158,647	0.00%
Deferred Tax Assets	168,206,685	185,422,647	-9.28%
Intangible Assets	46,185,693	40,951,790	12.78%
Total Assets	16,060,406,479	15,350,430,089	4.63%
LIABILITIES			
Financial liabilities - Due to banks	20,592,220	24,279,289	-15.19%
Other Liabilities	32,467,366	38,147,908	-14.89%
Financial liabilities - Other borrowed funds	4,380,195,720	4,778,758,726	-8.34%
Lease liability	213,861,988	213,877,899	-0.01%
Due to Customers	8,095,016,620	7,013,686,384	15.42%
Subordinated Liabilities	1,054,245,190	1,029,465,110	2.41%
Retirement Benefit Liability	32,235,378	30,135,378	6.97%
Total Liabilities	13,828,614,482	13,128,350,694	5.33%
SHAREHOLDERS' FUNDS			
Stated Capital	1,791,478,691	1,791,478,691	0.00%
Retained Earnings	361,015,623	351,303,022	2.76%
Statutory Reserve Fund and Other Reserves	79,297,682	79,297,682	0.00%
Total Equity	2,231,791,996	2,222,079,395	0.44%
Total Equity and Liabilities	16,060,406,479	15,350,430,089	4.63%
Net Assets Per Share	17.97	17.89	0.4%

* Figures in brackets indicate deductions.

I certify that the above Interim Financial Statements are in compliance with the requirements of the Companies Act No. 7 of 2007 and give a true and fair view of the state of affairs of Asia Asset Finance PLC as at 30th June 2021 and its profit for the Period ended 30th June 2021.

.....Sgd.....

Ihlas Nawasdeen

Senior Manager - Finance

The Board of Directors is responsible for the preparation and presentation of these Interim Financial Statements.
Approved and Signed for and on behalf of the Board:

R.J.A. Gunawardena

Director/CEO

Thusitha Perera

Director/Chairman of the Audit Committee

30th July 2021

Colombo

* The above figures are provisional and subject to audit.

ASIA ASSET FINANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE QUARTER ENDED 30TH JUNE, 2021

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	Stated Capital Rs.	General Reserve Rs.	Statutory Reserve Fund Rs.	Accumulated Profit/(Loss) Rs.	Total Rs.
Balance as at 1st April, 2020 (Audited)	1,791,478,691	3,000,000	73,766,353	303,207,769	2,171,452,813
Profit for the Three months Ended 30th June 2020	-	-	-	(16,931,695)	(16,931,695)
Other comprehensive income (net of tax)				-	-
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares					
Transferred to/from reserves During the Period	-	-	-	-	-
	-	-	-	-	-
Balance as at 30th June, 2020 (Unaudited)	1,791,478,691	3,000,000	73,766,353	286,276,074	2,154,521,118
Balance as at 1st April, 2021 (Audited*)	1,791,478,691	3,000,000	76,297,682	351,303,022	2,222,079,395
Profit for the Three months Ended 30th June 2021	-	-	-	9,712,601	9,712,601
Other comprehensive income (net of tax)		-		-	-
Total comprehensive income for the year					
Transaction with equity holders recognized directly in equity					
Proceeds from right issue of ordinary shares	-				-
Transferred to/from reserves During the Period			-	-	-
Balance as at 30th June, 2021 (Unaudited*)	1,791,478,691	3,000,000	76,297,682	361,015,623	2,231,791,996

* The above figures are provisional and subject to audit.

* Figures in brackets indicate deductions.

	30.06.2021 Rs. Unaudited*	30.06.2020 Rs. Unaudited*
Cash Flows From / (Used in) Operating Activities		
Profit Before Tax	27,712,601	(16,931,695)
Adjustments for		
Depreciation and amortization	15,559,409	14,784,555
Amortization of - right of use asset	13,525,939	8,822,290
Interest expenses on Lease Liability	6,648,652	4,556,349
Impairment of lease hire purchase, loans and advances	65,045,826	87,705,268
Early termination of loans, leases and hire purchase	(6,604,473)	-
Non-cash items included in profit before tax (WHT and Notional tax)	-	37,816
Provision for retirement benefit liability	2,100,000	2,100,000
Interest expense on Debenture	24,780,080	-
Interest expense on other borrowings	134,186,513	203,661,897
Profit from Operation Before Working Capital Changes	282,954,547	304,736,479
	-	
(Increase)/Decrease in Lease Rentals Receivable and Hire Purchase	292,272,461	130,101,050
(Increase)/decrease in loans and advances	(572,013,361)	223,338,091
(Increase)/Decrease in Deposits and Prepayments	(9,116,090)	16,684,259
(Increase)/Decrease in Deposits from Customers	1,081,330,236	149,979,726
Increase/(decrease) Other non-financial liabilities	2,413,556	(69,452,965)
Net Cash From/(Used in) Operating Activities before Income Tax Payments	1,077,841,349	755,386,641
Rent Paid	(14,759,066)	(5,741,677)
Net Cash From Operating Activities	1,063,082,283	749,644,964
Cash Flows from / (Used in) Investing Activities		
Acquisition of Property, Plant and Equipment	(12,686,562)	(3,926,963)
Acquisition of intangible assets	(6,950,000)	(639,106)
Acquisition of Investment Property	-	(35,000)
Net Cash Flows From/(Used in) Investing Activities	(19,636,562)	(4,601,070)
Cash Flows from / (Used in) Financing Activities		
Repayment of Other Borrowed Funds	(1,229,249,519)	(1,366,825,833)
Proceeds from Other Borrowed Funds	696,500,000	596,000,000
Net Cash Flows From/(Used in) Financing Activities	(532,749,519)	(770,825,833)
Net Increase in Cash and Cash Equivalents	510,696,202	(25,781,939)
Cash and Cash Equivalents at the Beginning of the Period	1,636,647,031	1,313,792,053
Cash and Cash Equivalents at the End of the Period	2,147,343,233	1,288,010,115
At the End of the Period		
Cash and Cash Equivalents	1,505,297,729	621,191,640
Investment in Reverse Repurchase Agreements Against Treasury Bills and Bonds	662,637,724	729,884,714
Bank Overdraft	(20,592,220)	(63,066,239)
	2,147,343,233	1,288,010,115

* The above figures are provisional and subject to audit.

	Finance Lease		Hire Purchase		Loans and Advances		Investment		Gold Loan		Other		Total	
	30.06.2021	30.06.2020	30.06.2021	30.06.2020	30.06.2021	30.06.2020	30.06.2021	30.06.2020	30.06.2021	30.06.2020	30.06.2021	30.06.2020	30.06.2021	30.06.2020
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Interest Income	105,031,277	239,791,154	81,500	-	138,849,591	210,878,265	24,545,946	15,962,464	293,038,656	210,535,745	-	-	561,546,970	677,167,627
Other Income	7,171,280	2,101,493	-	-	19,031,647	1,591,213	-	-	89,030,823	16,397,072	1,379,687	139,886	116,613,437	20,229,664
Total Revenue	112,202,557	241,892,647	81,500	-	157,881,239	212,469,478	24,545,946	15,962,464	382,069,479	226,932,817	1,379,687	139,886	678,160,407	697,397,291
Segmental Result	7,066,858	(2,404,262)	5,133	-	9,943,840	(2,111,814)	1,545,978	(158,657)	24,063,895	(2,255,571)	86,897	(1,390)	42,712,601	(6,931,695)
Value Added Tax on Financial Services													(15,000,000)	(10,000,000)
Profits from Operations													27,712,601	(16,931,695)
Income Tax Charge/Reversal for the Period									-				(18,000,000)	-
Net profit for the Period													9,712,601	(16,931,695)
Segment Assets	1,906,945,939	3,671,721,459	7,339,757	14,648,192	3,609,655,866	4,502,549,672	662,637,724	729,884,714	7,108,156,143	4,009,472,613	-	-	13,294,735,429	12,928,276,650
Unallocated Assets	-	-	-	-	-	-	-	-	-	-	2,765,671,050	1,727,944,098	2,765,671,050	1,727,944,098
Total Assets	1,906,945,939	3,671,721,459	7,339,757	14,648,192	3,609,655,866	4,502,549,672	662,637,724	729,884,714	7,108,156,143	4,009,472,613	2,765,671,050	1,727,944,098	16,060,406,479	14,656,220,749
Segment Liabilities	1,974,242,792	3,533,745,433	7,598,780	14,097,742	3,737,042,006	4,333,352,766	686,022,463	702,457,091	7,359,005,698	3,858,804,567	-	-	13,763,911,738	12,442,457,598
Unallocated Liabilities	-	-	-	-	-	-	-	-	-	-	64,702,744	59,242,032	64,702,744	59,242,032
Total Liabilities	1,974,242,792	3,533,745,433	7,598,780	14,097,742	3,737,042,006	4,333,352,766	686,022,463	702,457,091	7,359,005,698	3,858,804,567	64,702,744	59,242,032	13,828,614,482	12,501,699,631

In determining segment results,

Expenses have been allocated proportionately based on interest income

Segment Liabilities have been proportionately allocated based on the segment assets.

01. The Interim Financial Statements are in compliance with the Sri Lanka Accounting Standard - LKAS 34: Interim Financial Reporting and the provisions of the Companies Act No. 7 of 2007 and provide the information as required in terms of Rule 7.4 of the Colombo Stock Exchange.
02. The company has adopted consistent accounting policies and methods of computation as disclosed in the Annual Report for the year ended 31st March 2021.
03. The Interim financial statements of Asia Asset Finance PLC for the period ended 30th June , 2021 (including comparatives) were approved and authorized for issue on 30th July, 2021 in accordance with a resolution of the board of directors on 30th July, 2021.
04. The presentation and classification of the financial statements for previous periods have been amended where relevant for better presentation and to be comparable with those of the current period.
05. Subsequent to Balance sheet date ,no circumstances has arise that would require adjustments in the Financial statements and below disclosure has arise on Preference shares.

Asia Asset Finance PLC has obtained approval from the Central Bank of Sri Lanka to issue 41,398,511 preference shares [non-cumulative, irredeemable and convertible] at a price of LKR 10/- per share. The Issue is subject to the Colombo Stock Exchange and the Securities and Exchange Commission of Sri Lanka, approving (as appropriate) in principle, the issue and listing of the Preference Shares and the issue and listing of the Ordinary shares post conversion of the Preference Shares, as aforesaid, by way of a Private Placement, and obtaining Shareholder approval by way of a Special Resolution, at a General Meeting.

06. Stated capital is represented by number of shares in issue as follows.

	30.06.2021	31.03.2021
Issued and Fully Paid Ordinary Shares (Quoted)	124,195,533	124,195,533

07. Market Value of Shares

	30.06.2021	31.03.2021
	Rs.	Rs.
Highest Traded Price	8.30	9.10
Lowest Traded Price	5.80	5.50
Closing Price	7.50	5.60

08. There has been no significant change to the contingent liabilities disclosed in the previous Audited Financial statements.

09. The float adjusted market capitalization as at 30th June 2021 - Rs. 252,274,207.50

The Float adjusted market capitalization of the Company falls under Option 4 of Rule 7.13.1 (a) of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

10. Major 20 share holders as at 30th June 2021

NAME	No of Shares	(%)
1 MUTHOOT FINANCE LIMITED	90,558,778	72.92%
2 SEYLAN BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	7,692,693	6.19%
3 J.B. COCOSHELL (PVT) LTD	4,060,375	3.27%
4 HATTON NATIONAL BANK PLC/SRI DHAMAN RAJENDRAM ARUDPRAGASAM	3,095,431	2.49%
5 PEOPLE'S LEASING & FINANCE PLC/MR.W.K.R.JAYAKODY	1,501,280	1.21%
6 LAUGFS GAS PLC	1,022,461	0.82%
7 MR K.M.S.M. RAZEEL & MR K.S.M. RAJUBDEEN & MR S.M.R. MOHAMED	740,000	0.60%
8 PEOPLE'S MERCHANT FINANCE PLC/K.L.G. UDAYANANDA	700,000	0.56%
9 MERCHANT BANK OF SRI LANKA & FINANCE PLC/W.K.R. JAYAKODY	604,553	0.49%
10 MR C.W. GUNASEKARA	500,000	0.40%
11 SEYLAN BANK PLC/KARAGODA LOKU GAMAGE UDAYANANDA	495,792	0.40%
12 MR P.P. SUBASINGHE	405,404	0.33%
13 MRS M. ARUDPRAGASAM	303,562	0.24%
14 MERCHANT BANK OF SRI LANKA & FINANCE PLC 01	249,999	0.20%
15 MR R. UDALAGAMA	249,830	0.20%
16 MR T.S. SALIM	246,127	0.20%
17 HATTON NATIONAL BANK PLC/ARUMAPURAGE PETER LASANTHA FERNANDO	232,000	0.19%
18 SAMPATH BANK PLC/MR. ABISHEK SITHAMPALAM	229,389	0.18%
19 DFCC BANK PLC/MR.C.R.PERERA	200,000	0.16%
20 MR U.C. BANDARANAYAKE & MRS L. BANDARANAYAKE	200,000	0.16%
	113,287,674	91.22%
Othres	10,907,859	8.78%
Total	124,195,533	100%

Notes	No of Shareholders	% of Shareholding
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11. Shares held by public as at 30th June 2021

2,153 27.08%

12. Directors Share Holding

Name	No. of Shares 30.06.2021	%
Mr V A Prasanth		
Mr. R.J.A. Gunawardena	-	-
Mr.R.A.T.P.Perera	-	-
Mr.G.Alexander	-	-
Mr.K.R.Bijimon	-	-
Mr.K.G.K.Pillai		
Alternate Director - Mr.K.R.Bijimon		
Mr.R.A.B. Basnayake	-	-
Mr.J.P.D.R. Jayasekara	-	-

The fractional shares of 191 arising from the Consolidation of shares were issued jointly in the names of Mr. C Ramachandra and Mr. R J A Gunawardena

13. Utilization of right Issue Fund

Objecti ve No	Objective as per Prospectus /Circular	Opening Date	Branch	Amount allocated as per Prospectus/Circular in LKR	Proposed date of utilization as per Prospectus/Cir	Amount allocated from Proceeds in LKR A	% of total procee ds	Amount utilized in LKR B	% utilization against allocation
1	Approved 10 branches	2018 November -19	Thalawakele	40,092,350.48	10.08.2019	40,092,350.48	10%	40,092,350.48	100%
		2018 November -19	Gampola	47,219,327.96	10.08.2019	47,219,327.96	12%	47,219,327.96	100%
		2019 January -16	Ragala	51,195,027.44	10.08.2019	51,195,027.44	13%	51,195,027.44	100%
		2018 November -24	Nawalapitiya	47,067,363.49	10.08.2019	47,067,363.49	12%	47,067,363.49	100%
		2018 December -21	Chunnakam	49,532,616.32	10.08.2019	49,532,616.32	12%	49,532,616.32	100%
		2019 February - 25	Puthukkudiyiruppu	34,700,967.45	10.08.2019	34,700,967.45	9%	34,700,967.45	100%
		2019 April -24	Kalmunai	37,463,912.37	10.08.2019	37,463,912.37	9%	37,463,912.37	100%
		2019 Decemebr -05	Mullativu	31,532,119.24	19.12.2019	31,532,119.24	8%	31,532,119.24	100%
		2020-December- 09	Matale	35,474,425.31	06.02.2020	35,474,425.31	9%	35,474,425.31	100%
		2020-January -03	Kegalle	28,265,003.94	03.07.2020	28,265,003.94	7%	28,265,003.94	100%
402,543,114.00					402,543,114.00	100%	402,543,114.00		

14. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

As at 30th June 2021	Financial instruments at amortized cost (AC)	Fair Value through Other Comprehensive Income (FVTOCI)	Total
Financial Assets			
Cash and cash equivalents	1,505,297,729	-	1,505,297,729
Reverse repurchase agreements	662,637,724	-	662,637,724
Financial assets measured at amortized cost			-
-Loans and advances	10,717,812,010	-	10,717,812,010
-Lease rentals receivable and hire purchase	1,914,285,696	-	1,914,285,696
Financial assets - Fair value through other comprehensive	-	506,659	506,659
Total Financial Assets	14,800,033,159	506,659	14,800,539,818
Financial Liabilities			
Due to banks	20,592,220	-	20,592,220
Financial liabilities at amortized cost			
-Due to Customers	8,095,016,620	-	8,095,016,620
-Other borrowed funds	4,380,195,720	-	4,380,195,720
-Due to debt securities holders (Debenture)	1,054,245,190	-	1,054,245,190
Other Payable	295,240	-	295,240
Total Financial Liabilities	13,550,344,990	-	13,550,344,990

As at 31st March 2021	Financial instruments at amortized cost (AC)	Fair Value through Other Comprehensive Income (FVTOCI)	Total
Financial Assets			
Cash and cash equivalents	1,006,233,476	-	1,006,233,476
Reverse repurchase agreements	654,692,844	-	654,692,844
Financial assets measured at amortized cost			-
-Loans and advances	10,198,262,863	-	10,198,262,863
-Lease rentals receivable and hire purchase	2,212,534,894	-	2,212,534,894
Financial assets - Fair value through other comprehensive	-	506,659	506,659
Total Financial Assets	14,071,724,077	506,659	14,072,230,736
Financial Liabilities			
Due to banks	24,279,289	-	24,279,289
Financial liabilities at amortized cost			
-Due to Customers	7,013,686,384	-	7,013,686,384
-Other borrowed funds	4,778,758,726	-	4,778,758,726
-Due to debt securities holders (Debenture)	1,029,465,109	-	1,029,465,109
Other Payable	295,240	-	295,240
Total Financial Liabilities	12,846,484,748	-	12,846,484,748

15. Corporate Information

Name of the Company

Asia Asset Finance PLC

Legal Form

Incorporated as a Private Limited Liability Company under the Companies ordinance, no 51 of 1938 (Cap 145) on 23 September 1970 and name changed under the Companies ordinance, no 51 of 1938 (Cap 145) on 03 October 2006 and Re-registered under the companies Act No.07 of 2007 on 23 January 2008 and converted to a public company under the companies Act No.07 of 2007 on 20 March 2012.

Registration Number (Under the Companies Act No.17 of 1982)

PVS/PBS 3266

New Registration Number (Under the Companies Act No.7 of 2007)

PB 139 PQ

Registered Office

No 76, Park street colombo 02.

Telephone

011-7699000

E-mail

info@asiaassetfinance.lk

Website

<https://asiaassetfinance.com/>

Board of Directors of the Company

Mr. V.A Prasanth
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Kuttikattu Rajappan Bijimon
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Company Secretary

P R Secretarial Services (Pvt) Ltd
59 Gregory Road,
Colombo 07.

Lawyers of the Company

Gunawardane & Ranasinghe Associates
1056 Mardana Road,
Colombo 08.

Company Auditors - External

BDO Partners
65/2, Sir Chiththapalam A Gardiner Mawatha,
Colombo 02.

Bankers of the Company :

Bank of Ceylon
Commercial Bank of Ceylon PLC
DFCC Bank PLC
Hatton National Bank PLC
Pan Asia Banking Corporation PLC
People's Bank
Sampath Bank PLC
National Development Bank PLC
Seylan Bank PLC
Indian Bank
Nation Trust Bank
Cargills Bank

Audit Committee

Mr.Thusitha Perera
Mr. Danasiri Rupakumara Jayasekara
Mr. V.A Prasanth
Mr.Kiran Gopala Krishna Pillai
Mr.Rajitha Ananda Bandara Basnayake

Integrated Risk Management Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Roshan De Silva Gunasekara (COO)
Mr. Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon

Remuneration Committee

Mr. V.A Prasanth
Mr.Thusitha Perera
Mr.George Muthoot Alexander
Mr.Rajitha Ananda Bandara Basnayake
Mr.Danasiri Rupakumara Jayasekara

Related Party Transactions Review Committee

Mr.Danasiri Rupakumara Jayasekara
Mr.Kuttikattu Rajappan Bijimon
Mr.Rajitha Ananda Bandara Basnayake

IT committee

Mr. V.A Prasanth
Mr.Rajitha Ananda Bandara Basnayake
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Danasiri Rupakumara Jayasekara

Credit Committee

Mr. V.A Prasanth
Mr.Danasiri Rupakumara Jayasekara
Mr.Rajiv James Abeywickrema Gunawardena
Mr.Kuttikattu Rajappan Bijimon